Lichen over BABE

withdrawals of a variable amount, by authenticated request

a design note with cost estimates

waxwing

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a companion to *Lichen*, version 0.2 [1]

Abstract

BABE [3] settles a Groth16 proof on Bitcoin in three transactions, using witness encryption and a small garbled circuit, but its statement, public inputs included, is fixed when the parties set up. A lichen withdrawal is for an amount b that Alice chooses only when she withdraws. We describe how BABE can serve as lichen's on-chain gadget without any change to its cryptography: the amount leaves the public input and enters the witness, together with the hub's one-time signature on it, which the hub must give on chain for exactly the amount Alice asserted there, or lose. We sketch why this binds the proved amount to the paid one, give the transaction graph, and estimate costs from BABE's published measurements and lichen's: a refused withdrawal of about 31 kvB in six transactions against BitVMX's 100–212 kvB in 23–25, a hub's binding move in a congestion attack of 17 kvB against 93, and a setup per contract of minutes of computation and about 90 MiB of storage for the user. Nothing here is built, and the security argument is a sketch.

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1. Status and scope

The main paper [1] treats the check of a disputed withdrawal proof as a gadget with a narrow interface: given a proof whose public input binds the program and its journal, adjudicate a two-party claim on Bitcoin, with the contract's fixed terms checked, the amount b readable by Script for a variable payout, and the loser paying. The gadget built today is BitVMX's interactive search [9], described and measured in a companion [2]. This note describes a second gadget, BABE, which is not built.

What is ours here is narrow: the binding of a late-chosen amount by the hub's authentication (Section 5), first put forward in a discussion on Delving Bitcoin [8], and the cost estimates of Section 7. BABE, its witness encryption and its garbled circuit are its authors' [3, 4, 5]; the problem of public inputs that are known only at proving time has been treated at the cryptographic layer by GOAT's researchers [7]. Figures marked (BABE) are the BABE paper's measurements, taken from its revised version (October 2026), whose on-chain figures are larger than those of the January version; figures marked (lichen) are measured in lichen's proof of concept; the rest are our estimates.

2. BABE in brief

Groth16's verification, written additively in the target group, is

$$e(\pi_1, \pi_2) + e(\pi_3, \delta) = T, \qquad T = e(\alpha, \beta) + e(L, \gamma), \qquad L = IC_0 + \textstyle\sum_i s_i\, IC_i,$$

where π_1, π_2, π_3 are the proof, s_i the public inputs, and the rest the verifying key. Witness encryption (WE) lets a party encrypt a message so that only a holder of a valid proof can decrypt it. For pairing relations *linear* in the witness there is a simple scheme [4]: for a secret scalar r, publish r times the public elements; a holder of the witness pairs it against them and obtains $r\,T$, which unmasks the message. Groth16's check is not linear in the witness, because of $e(\pi_1, \pi_2)$. BABE's idea is to supply $r\pi_1$ by two-party computation once π_1 is known:

- *Setup.* The verifier picks r and a message *msg*, publishes the WE ciphertext ($r\delta$ and *msg* masked by $r\,T$; 480 bytes), commits to *msg* by its hash, and garbles a circuit computing $r\pi_1$ from the bits of π_1, with r inside. The circuit is small because group addition to a fixed point is linear in a six-term feature vector of the point, so all but a point-validation gadget is a decomposable randomized encoding with no garbled tables, after Argo MAC [5]: 22 MiB per instance, 175 ms to make (BABE).
- *Assert.* The prover posts π_1 under a Lamport signature (508 bits).

- *ChallengeAssert.* To contest, the verifier must post the circuit's input labels for exactly those bits; a script checks that its labels and the prover's Lamport signature sign the same value. (A garbled circuit's input labels *are* a Lamport signature of its input.)
- The prover evaluates the circuit, obtains $r\pi_1$, completes the decryption with π_2 and π_3, and, if the proof is valid, publishes *msg* (*WronglyChallenged*), which blocks the verifier's *Failure*; after a timelock Δ_2 the prover's *Success* pays. If the verifier never challenges, Success pays after Δ_2 anyway. Failure needs Δ_1 after the challenge, and $\Delta_2 > \Delta_1 + 2u$ for a liveness bound u.

On chain, a contested valid proof costs Assert 9,240 vB, ChallengeAssert 17,400 vB and WronglyChallenged 149 vB (BABE), with one set of labels. Against a verifier who might garble wrongly (one whose circuit never lets the prover decrypt), the prover checks the garbling by cut-and-choose: for example 2,268 instances of which 4 are kept, 1 min 37 s and 1.8 GB at peak on a 16-thread laptop (BABE). Without more, the verifier must then post 4 sets of labels; *soldering*, a SNARK proving the kept instances' labels consistent, brings it back to one at about 12 minutes more of setup (BABE). The WE is extractable, proved in the generic group model, and the protocol is proved robust (an honest prover is paid) and knowledge-sound (a prover who is paid knows a witness), for an honest setup; cut-and-choose extends the setup to a malicious verifier.

3. Where BABE fits in lichen

The proving stack is unchanged. lichen's withdrawal proof is already a Groth16 proof over BN254: RISC Zero's recursion compresses the guest's STARK receipts into a succinct receipt, and RISC Zero's shrink-wrap proves that receipt's verification in Groth16, with RISC Zero's single trusted setup [10]. BABE verifies exactly such a proof. The guests, the STARKs, the sequencer's chain proofs and the wrap all stay as they are; only the statement's journal changes (Section 5).

The roles. Alice, who claims her withdrawal, is BABE's prover; the hub, the only party a false claim can rob, is its verifier, and so the garbler. BABE is a protocol between one prover and one verifier, both known at setup, which is what a lichen contract is: no committee, no open set of challengers, and no one else's funds in the output. Designs whose challengers are not known in advance pay heavily to approximate this; a bilateral contract has it for free.

Setup is per contract, and two-party. The hub garbles for each contract; Alice checks the garbling by cut-and-choose and keeps the finalized instances. This replaces nothing in lichen's trust model: as under BitVMX, the contract is set up by its two parties alone. What it adds is cost at opening (Section 7.4).

One-shot. Revealing labels spends a garbled circuit's security, so a BABE instance settles one claim. A lichen contract has at most one withdrawal, after which it closes; renewal is a new contract with a new setup.

4. The fixed statement

BABE's ciphertext is built from T, and T contains $e(L, \gamma)$, the combination of the public inputs. So the whole public input is fixed at setup. For a RISC Zero proof that input is the claim digest, a hash over the image id and the journal; under BitVMX the journal is $b \,\|\, c \,\|\, D$, so setup would fix b, which Alice chooses only when she withdraws. The ways round it that we know of:

- *Supply rL at proving time* for the asserted public input only, by envelopes opened with labels the verifier reveals per bit. With a single scalar public input this fails: the points $r\,2^j\,IC$ share one base, so one of them gives away $r\,IC$ and with it the ciphertext for any input. It needs each bit to be its own public input with an independent base, so a custom Groth16 wrap and its own trusted setup, and a garbled SHA-256 between b and RISC Zero's digest.
- *Deferred binding at the cryptographic layer*, as GOAT's researchers propose [7]: a blinding point and further garbled circuits for the dynamic part of the input, one of them about 200 million gates, and a larger challenge transaction.
- *One instance per digit value*: decompose b in base B and set up a fixed statement for each nonzero digit at each position. A dispute then proves each nonzero digit separately; base 16 for a 14-bit amount means 60 setups per contract and up to four disputes.
- *Refresh the statement* whenever Alice's balance changes, which needs contracts in channels so that the refresh is off chain, and a setup per change of balance.
- *Set up only when withdrawing.* Rejected: a hub that declined the setup would leave Alice's tokens without collateral, which breaks the contract's first property, that within its cap Alice trusts the hub for nothing.

5. Authenticated amounts

5.1. The statement

Let the hub hold, per contract, a one-time signing key pk_H, fixed at setup. The statement proved becomes

$$\exists\, b, w, \sigma_H : \quad \text{Verify}(pk_H, b, \sigma_H) = 1 \;\wedge\; \text{ValidWithdrawal}(c, D, b, w) = 1,$$

where ValidWithdrawal is lichen's withdrawal statement unchanged (a return of b to the hub with the contract's memo c, under an anchored root of a valid history, with the contract's work on top) and w its witness. The journal holds only values fixed when the contract opens: c, D and a digest of pk_H. The claim digest, and so BABE's statement, is then fixed at setup, while b is free until Alice withdraws.

5.2. The flow

1. *Request.* Alice asserts b on chain under her one-time key for it, as she does today.
2. *Response.* The hub must sign the same b under pk_H, on chain, within its window. The response's script verifies both signatures and checks, digit by digit, that they sign the same value. If the hub is silent, Alice's timeout pays her the asserted b, as the hub's silence does under BitVMX.

3. *Proof.* Alice proves the statement, using the hub's signature as part of her witness, and wraps the proof.

4. *BABE.* Assert, ChallengeAssert, WronglyChallenged or Failure, as in Section 2.

5. *Payout.* Success pays through the bit outputs, which read b from Alice's signature, as under BitVMX.

5.3. Why the amount is bound

The hub's signature is not a judgement. It means "this is the amount being adjudicated", not "this withdrawal is valid", and an honest hub gives it mechanically for whatever Alice asserted, true or false. Three links bind the amount proved to the amount paid:

- the proof's b is the hub's, because the guest checks the hub's signature;
- the hub's b is Alice's on-chain b, because the response's script compares them digit by digit;
- Alice's b is the one paid, because the bit outputs read her signature, and a second signature from her under the same key forfeits them (`equiv_b`).

Suppose Alice asserts 100 but can prove a withdrawal of only 10. She has the hub's signature on 100 and no valid withdrawal of 100, or a valid withdrawal of 10 and no signature on 10. Neither satisfies the statement.

The authenticator must be the hub. Alice's own signature on b inside the witness would bind nothing: she could sign 10 privately for the proof and 100 on chain for the payout, and the private signature, hidden in a zero-knowledge witness, would never be seen, so the equivocation could not be shown. A key she does not hold, used only on chain, is what carries the on-chain value into a fixed statement. The hub must therefore never sign a second value under pk_H, not even off chain; its key is used once, in the response, and the cooperative fold never touches it.

The payout could check both signatures. Since the hub's signature on b is on chain, each bit output could require both parties' signatures on the same value: Alice's leaf with bit i set, the hub's with it clear. Neither can then spend with a value the other did not sign, which removes `equiv_b` and Alice's wait δ at about the same script cost.

5.4. The guest

The withdrawal guest takes b and σ_H as private inputs, checks σ_H against pk_H, and commits c, D and pk_H's digest. The cost of the check depends on the signature's hash. LN-GAP's one-time signatures chain `HASH160`, RIPEMD-160 of SHA-256: up to 150 chain steps for a 32-bit word, and RIPEMD-160 has no accelerator in RISC Zero's zkVM, so a few hundred thousand cycles, comparable to today's whole statement of 389,000 (est.). Chains of SHA-256 instead, which Script can check with `OP_SHA256` at 32 bytes a chain value and the zkVM accelerates, would cost a few thousand cycles (est.). The hub's key should use them.

5.5. Security, as a sketch

The statement is *true* for any Alice holding any valid withdrawal: for every amount, a hub signature on it exists mathematically. So security cannot rest on the statement being false; it must rest on extraction, that whoever is paid knows a witness, which then contains a hub signature, which unforgeability then forces to be on the asserted amount.

BABE gives the first step. Its knowledge soundness (Definition 9 of [3]) states that for any NP relation, a prover who gets the Success transaction onto the chain knows a witness, in the sense that an extractor recovers one from its view. Here the relation is the statement above, through two more layers: Groth16 is knowledge-sound (in the generic or algebraic group model), so the Groth16 proof yields a valid RISC Zero receipt; RISC Zero's STARKs are arguments of knowledge (in the random-oracle model), so the receipt yields the guest's input, (b, w, σ_H). If $b \neq b^*$, the asserted amount, then σ_H is a signature under pk_H on a message the hub never signed, and the hub signed exactly one: a forgery against a one-time signature.

What remains to be written properly:

- BABE's theorems are proved for an honest setup; the malicious-setup case rests on cut-and-choose, as for BABE itself.
- The hub's signature arrives during the proving phase, after the statement is fixed, and depends on Alice's own assertion: the extraction must hold with the signature in the prover's view, which BABE's definition allows but which should be checked against its proof.
- The composition of extractors across BABE, Groth16 and the STARKs, under BABE's restriction to benign auxiliary input.

6. The transaction graph

The graph follows BABE's (its Appendix A.1), joined to lichen's contract and payout (Figure 1):

transaction	poster	spends, and what it carries or checks
`request`	Alice	the contract output; her one-time signature on b (one word)
`respond`	hub	`request`'s output, within w_H; the hub's signature on b, and Alice's again for the digit-by-digit comparison; creates a value output and a connector
`request_timeout`	Alice	`request`'s output after w_H; the payout, unverified
`assert`	Alice	the connector, before an absolute deadline T_A; π_1 under her Lamport key
`respond_timeout`	hub	the value output and the connector, after T_A: Alice never asserted
`challenge_assert`	hub	`assert`'s second output, within $\Delta_2 - \Delta_1$; the labels, matched to Alice's Lamport signature
`wrongly_challenged`	Alice	`challenge_assert`'s output, within Δ_1; the preimage *msg*
`failure`	hub	the value output, `assert`'s first output and `challenge_assert`'s, after Δ_1; the hub takes everything
`success`	Alice	the value output and `assert`'s first output, after Δ_2; the payout with its bit outputs

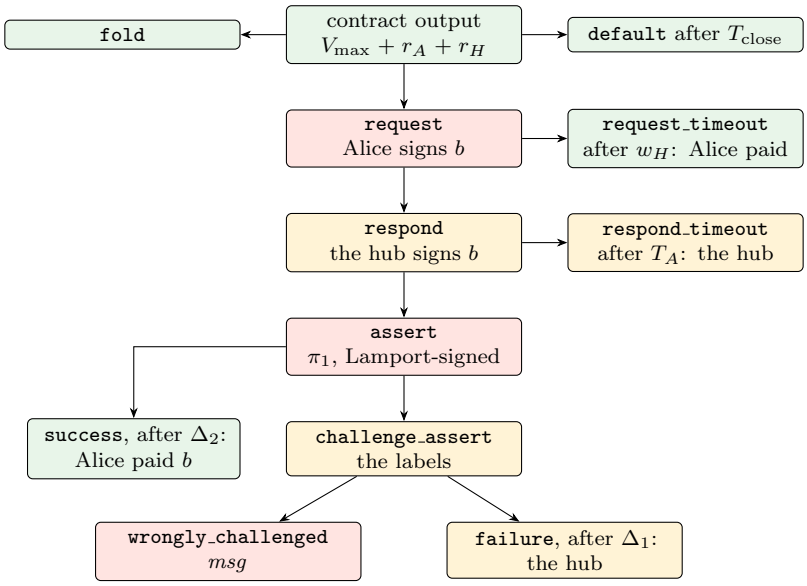


Figure 1: The dispute's graph. Red: Alice's transactions; yellow: the hub's; green: settlements. `success` and `failure` also spend the value output of `respond`; `wrongly_challenged` spends the output `failure` needs, so after it only `success` remains.

All but `wrongly_challenged` are pre-signed at opening, about nine transactions. The payout and its bit outputs are as under BitVMX.

The assertion's deadline. Alice's heavy move, `assert`, needs no window: a late assertion only delays a payout the hub owes anyway, and the hub loses nothing by waiting. So its deadline T_A is absolute, early enough before T_{close} that Δ_2 and the payout fit, and the proof, which needs the hub's signature first, never races a timeout. What remains due within a window is, for Alice, `wrongly_challenged` (149 vB) and, for the hub, its response and its challenge.

7. Estimates

7.1. Transactions and disputes

transaction	size
`request`: one signed word	∼0.4 kvB (est., from lichen's measured ∼250 vB a word)
`respond`: two signed words and the comparison	∼0.6 kvB (est.)
`assert`	9.24 kvB (BABE)
`challenge_assert`, one label set (soldered)	17.4 kvB (BABE)
`challenge_assert`, four label sets	∼42 kvB (est.: one set is about $17.4 - 9.2 = 8.2$ kvB)
`wrongly_challenged`	0.15 kvB (BABE); ∼0.21 with a fee input
a timeout, `failure`, `success`	∼0.3–0.8 kvB (est.)
the payout and Alice's sweep of her bits	∼3 kvB (lichen)

exit	BABE (est.)	BitVMX [2]
the hub present: a fold	0.3 kvB	0.3 kvB
the hub gone	∼3.8 kvB: request, its timeout, the payout	23.1 kvB
the hub refuses a true claim to the end	∼31 kvB in six transactions (∼56 unsoldered)	∼120 kvB in 23
the hub disproves a false claim	∼28 kvB (∼53 unsoldered)	100.4 kvB
the worst case	the same: there is no separate case for reads	200–212 kvB, a read lie
Alice's transactions, those due in a window	4 (request, assert, wrongly challenged, success), one	13, twelve
pre-signed per contract	about 9	141

Most of the gain against a vanished hub comes from not publishing the proof's input words before the hub moves; BitVMX could recover much of it by demanding them only from a hub that is present [2].

7.2. Congestion

With the main paper's rule, $Ns \leq w \cdot 1\,\mathrm{MvB}$ for N contracts whose defender's heaviest move due in one window is s:

	hostile hub: $s =$ `wrongly_challenged`, 0.21 kvB	hostile users: $s =$ `challenge_assert`, 17.4 kvB (42 unsoldered)	BitVMX, binding side: 93 kvB
contracts safe at $w = 12$	∼57,000	690 (290)	130
at $w = 144$	∼690,000	8,300 (3,400)	1,550
at $w = 1{,}008$	—	58,000 (24,000)	10,800
window for 60,000 contracts	13 blocks	1,040 blocks (2,520)	5,580 blocks

Hostile users bind, at about 5.3 times BitVMX's capacity with soldering and 2.2 without. A hostile hub stops mattering, since Alice's only windowed move is 149 vB. The hub's response, 0.6 kvB in w_H, grows with N too: 60,000 contracts need w_H of at least 36 blocks. Were BitVMX's path posted chunk by chunk in separate windows, its binding move would fall to 23.6 kvB, and BABE's advantage on this measure to about 1.4 times; its advantage in total bytes, in the missing read-lie case and on the hostile-hub side would remain.

7.3. Reserves and time

A reserve must cover the other side's fees in a dispute it loses. Alice's side is about 12.5 kvB (request, assertion, the preimage, her payout), against about 117 under BitVMX, so the hub's reserve per user falls about tenfold: about 125,000 sats at 10 sat/vB rather than 1.2 million, and the contract suits balances of some tens of thousands of sats rather than half a million. The hub's side is about 18 kvB (43 unsoldered). A hostile hub stretches a dispute to about $w_H + \Delta_2$ blocks after Alice's assertion, about 170 blocks with $w_H = 12$, $\Delta_2 = 156$, $\Delta_1 = 12$, against about 430 under BitVMX with the windows the main paper uses; a vanished hub's users wait w_H, as now.

7.4. Setup per contract

The new cost. At BABE's operating point (2,268 instances, 4 kept), on a 16-thread laptop (BABE):

item	per contract
cut-and-choose, both roles	1 min 37 s, 1.8 GB at peak
soldering, for one label set on chain	745 s more, the hub's
what Alice stores	∼89 MiB (4 instances of 22 MiB); perhaps ∼2 MiB with Duty-Free Bits' 45-fold smaller encoding [6], unverified for this use
transferred from the hub to Alice	at least the kept instances, ∼89 MiB (est.)
a hub opening 10,000 contracts	∼270 laptop-hours, ∼2,300 with soldering: parallel, and again at each renewal

Fewer instances trade setup for chain space: keeping 10 of 78 sets up in 6 s but, unsoldered, puts 10 label sets on chain. A verifiable secret-sharing variant (BABE, §9.4) aims at one label set without soldering, but has no transaction design yet.

8. With a counter-proof

lichen's planned exit for a stalled or censoring sequencer lets Alice withdraw from anchored state by publishing her notes' nullifiers, and lets the hub answer with a *counter-proof*, a later anchored spend of one of them. Under BABE, two shapes:

- *Inside Alice's statement.* The hub's response carries its counter, or "none", under its signature; Alice's statement adds "and the hub's counter, if any, is invalid". One BABE instance; the response grows by the counter's bytes when used, about 3 kvB (est.), and Alice's guest must verify a Groth16 proof (cycles unmeasured).
- *A separate game*, roles reversed: the hub proves its counter in a second BABE instance garbled by Alice. Setup doubles, and Alice's heaviest windowed move becomes her own `challenge_assert`, so the hostile-hub side falls to the hostile users'.

Either way, Alice's request also carries the nullifiers' digest, which the hub countersigns: about 2 kvB more on each (est.).

9. Open questions

- The security argument of Section 5.5, written as a proof.
- Soldering against four label sets on chain, or the secret-sharing variant, once it has a transaction design.
- What Duty-Free Bits' smaller encoding means for what Alice must store and receive.
- The response transaction's script and size, and the guest's signature check, built and measured.
- Whether BABE's authors, or GOAT's, see a problem with moving the amount into the witness this way.

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